

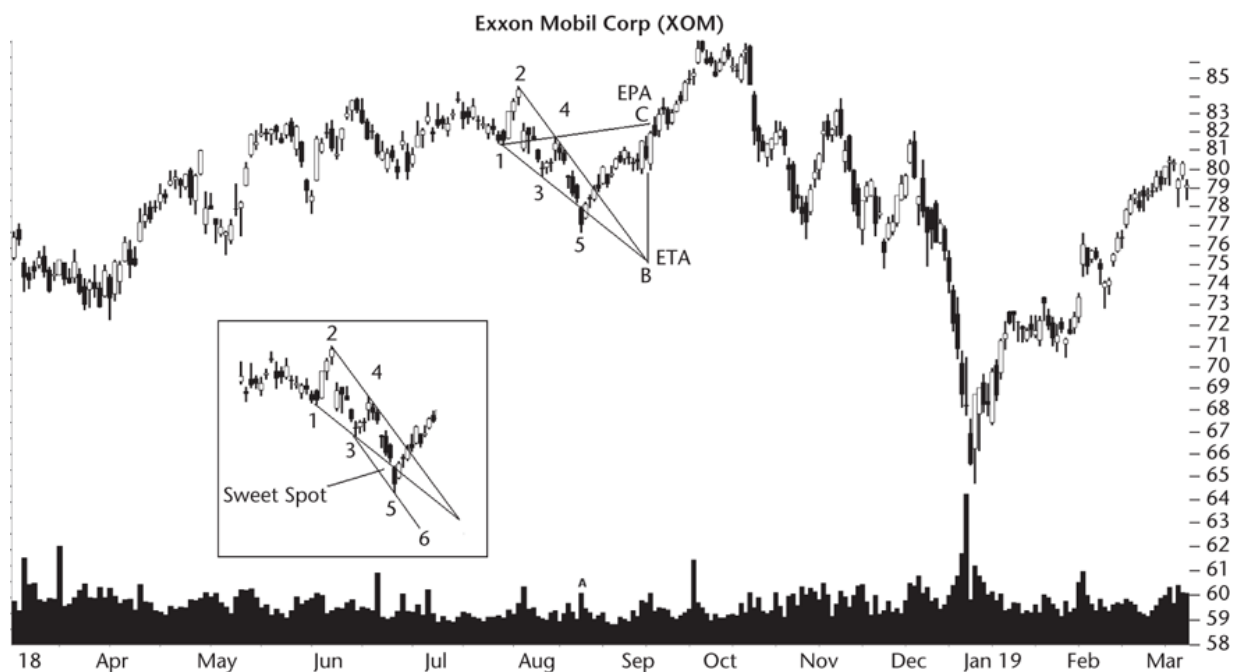


Figure 76.2 This Wolfe wave sees price climb and meet its target almost exactly on schedule.

Point 3. The third turn is a valley formed after hill 2.

Point 4. This is the peak begun by valley 3. The price of this peak must be below the price of 2 so that we see two down-sloping and converging trendlines. A line connecting turns 1 and 4 is called the EPA. When price reaches the EPA line, that's the exit signal for a trade.

Point 5 is the valley formed after peak 4. It need not align with trendline 1–3; however, it can't be located off in the boonies, either. Rather, it must reside between line 1–3 and another line drawn from turn 3 and extended parallel to line 2–4. The area between lines 1–3 and 3–6 is what Wolfe calls the *sweet spot*. I show it in the inset.

Apex, ETA. Where the two trendlines (1–3 and 2–4) of the wave join is called the ETA or Estimated Time of Arrival. Price is supposed to turn at the ETA or at least join with the EPA line. If the two lines don't converge, then you don't have a Wolfe wave.

Other rules. I programmed my computer with additional conditions to make the pattern look like the figures in this chapter. That means no extraneous hills or valleys interrupting the converging shape of the pattern.